

"It's India and China, not India or China"

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When I look at the world, I see the three biggest world forces reshaping the global landscape—the rise of China, the rise of India and the ongoing technological revolution. Let me focus my talk on China.

The first and crucial change was the result of a dramatic shift—from export-orientation to high domestic consumption. As the economy gathered momentum, standards of living rose for the middle classes and domestic consumption shot up. In 2008, out of 9 per cent of GDP growth, 4.2 per cent came from investment, 4 per cent from consumption and 0.8 per cent from export. The second shift is the move away from imitation to innovation. Imitation is often the first step towards innovation. The Chinese economy is working its way up—from perfect imitators to innovators. Patents in China, granted by the US patent office, have gone up by 27 per cent between 2004 and 2007.

A third shift is also at work: A move from

fragmentation to consolidation. In February, a plan was announced to merge and create four big steel giants, each with a capacity of close to 40-50 million tonnes, making them four of the five largest steel mills, behind Arcelor-Mittal, in the world. The Chinese Government is working on consolidating scattered industries and trying to make them more efficient. There are four reasons for this: First is to reduce over-capacity; second, the need to continue towards sustainable development and become more energy efficient; third, reduce dependence on raw material from foreign countries; fourth, the need to create big and strong domestic suppliers.

The fourth shift at work is the move away from domestic to global enterprise. China today has about 29 enterprises in the global 500 list. It's a big challenge, as China has always been a command-and-control economy. But the Chinese are eager to learn and they are learning by taking small steps.

Is that just the Chinese reality? That's more the Asian reality. India and China are actually walking hand-in-hand. We must think in terms of India and China and not India or China.

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DISCUSSION

Q. What is the road ahead? How do we take forward the ideas you have presented?

Nandan Nilekani: First of all you need ideas for a change. All changes happen because you conceptualise and conceive a new set of ideas. And then you motivate others to drive that change. And that's precisely what I had tried to do with my book—to put those ideas across. There are many things that we can do collectively to drive change.

Q. Carbon credits are a key component of national and international emission trading schemes that have been implemented to mitigate global warming. But while developing countries are being offered carbon credits, developed countries will have the right to continue to spoil the environment. How far is

this policy justified?

Allan: It was an idea that started in the UK about 25 years ago to answer this issue. But we haven't advanced much beyond that. And that's exactly why I said that if you can't measure, you can't change. We have to put the real economy to value on the environment. If you can't measure, it's very hard to change. You have to have a real dollar value to respond.

Q. One thing we have not addressed is population explosion. Can any of the ideas be put in force if we don't control this?

Allan and Dubner: The answer is very simple: Educate women. The earth has a carrying capacity because we can measure it. We look at everything we see here, like electronics, these tables and all these things we have invented. But in real-

ity they all came from the same place and we have to understand that nature over time recycles everything. As long as we are going to generate waste we are going to be harassing the system. Population challenges the carrying capacity of the earth, but for that you need to educate women.

Q. The biggest challenge is often to change mindsets. And people in different countries and cultures have different ways of looking at things. How do you think we can integrate all these?

Dubner: That's the key question. We all have a certain arrogance and we tend to think that we know better than the next person or the next group of people. Now when it comes to behaviour change, you'll often come across people who engage in a kind of behaviour knowing

it's bad for them, and yet can't stop. The point is, even when you have a strong incentive to change your behaviour it can be very hard to change. Bacterial infections are one of the leading causes of accidental death in hospitals even today, often because medical staff don't wash their hands well. What is interesting is that the best advances in anti-bacterial cleanliness in the last several years have not been behavioural. They have been design-oriented engineering changes. My favourite example comes from the UK, when the British Medical Association decided that if they can't force doctors to wash their hands, they would ban one article of clothing of the male doctor—the neck tie—which acts as a giant germ swab, collecting germs and very rarely goes for cleaning.